Fermi America (FRMI) — Earnings Brief

3Q26 | 12 November 2026 | Pre-call version

Josh, earnings desk

Pre-call version — transcript not yet available; management tone and Q&A not reflected. 3Q 10-Q not yet filed: going-concern language, facility detail, Keystone and Texas Tech status pending. Sources: 8-K exhibits 99.1 (release) and 99.2 (presentation) of 12 November, 2Q26 10-Q, 9 November preview. Four quarters of public history (IPO October 2025).

1 Executive snapshot

Consensus thesis: Brokers rate Fermi a Buy as an option on scarce Texas power assets and a signed TensorWave lease; at ~$1.6-1.8 before results the tape priced distress or heavy dilution (Provisional); shares rose ~17% pre-market on the hyperscaler news.

Thesis status: Weakening | **Versus expectations:** Quarter: miss (EPS -$0.22 vs about -$0.06 to -$0.09; stock-based G&A). Outlook: no guidance; power pipeline restated (600 MW in 2027, all for one hyperscaler).

Biggest changes

- TensorWave lease and AMD credit support terminated (release). The anchor of the bull case is gone.
- Replacement: an unnamed investment-grade hyperscaler for 600 MW from 2027, with a $200mn prepayment agreement, a $15mn early-works agreement and a $90mn steel purchase still being finalized; no definitive lease.
- Cash $315.5mn incl. restricted (from $91.7mn) after the $431mn convert; debt (net of issuance costs) $958.4mn; burn ~$188mn a quarter (operating ~$54.5mn, about double the 1H pace, plus PP&E ~$133mn) gives under two quarters of runway before the prepayment (our calc).
- Loss jumped to $141.6mn from $25.8mn, mostly non-cash: $65.8mn stock comp and $21.5mn of advisory fees paid in stock.
- 31 December deadlines (Keystone prepayment trigger, Texas Tech notice to proceed) not updated; F-class EPC still in negotiation; Hillcore BOOT framework (up to ~2.6 GW, $0 Fermi capex) still shown, definitive documents not confirmed.

Investor takeaway: The consensus view should move from 'a signed lease waiting for financing' to 'an unsigned hyperscaler LOI racing a cash clock': tenant quality and scale improved, but nothing is yet binding and credit quality weakens until a definitive lease and project debt exist.

What to monitor next quarter

- Definitive lease with the hyperscaler (term, rent, credit support) and whether it satisfies Keystone and Texas Tech by 31 December.
- Receipt and refundability of the $200mn prepayment.
- 3Q 10-Q: going-concern language, MUFG syndication, EPC award for the F-class units.

Pillar scorecard

Pillar	What the quarter showed	Verdict
P1 TensorWave closes	Lease and AMD credit support terminated	Broken
P2 Funding	Cash $315.5mn; $200mn prepayment agreed; no lender	Unresolved
P3 Hard-asset floor	Net PP&E $1.67bn; no impairment	Confirmed (for now)
P4 Power timeline	No first-power date; 600 MW in 2027; EPC pending	Challenged
P5 Optionality	No review disclosed; directors held over	Unresolved

Key KPIs ($mn)

Metric	3Q26	2Q26	Flag
Revenue	0	0	[~]
Operating loss	142.2	26.8	[↓]
EPS	-$0.22	-$0.04	[↓]
PP&E additions	133.4	185.0	[~]
Operating cash burn	~54.5	~28 avg	[↓]
Cash + restricted	315.5	91.7	[↑]
Debt, net	958.4	520.1	[↓]
Net PP&E	1,669.6	1,547.9	[↑]
Shares (mn)	646.1	638.1	[↓]
Binding contracted MW	0	0	[?]

Guidance

Metric	Guidance	vs. prior
First power	No date	Withdrawn (was 1 July 2027)
2027 power	600 MW for hyperscaler	New
2028 / 2029	1,332 / 2,000 MW	New

Top risks: (1) no definitive lease before the 31 December Keystone and Texas Tech deadlines; (2) runway under two quarters without the prepayment (our calc); (3) execution: EPC not awarded, first-power date withdrawn.

Analyst focus (Trevor): pending transcript.

Questions for the call: prepayment timing and refundability; whether the hyperscaler deal satisfies Keystone and Texas Tech; runway and equity plans; first-power date and EPC; why TensorWave was terminated; strategic review and probes.

Read-across for Kona: hyperscalers will prepay to reserve behind-the-meter power, but lenders need a signed lease; keep land and loan deadlines independent of lease timing and contract EPC before promising first power.